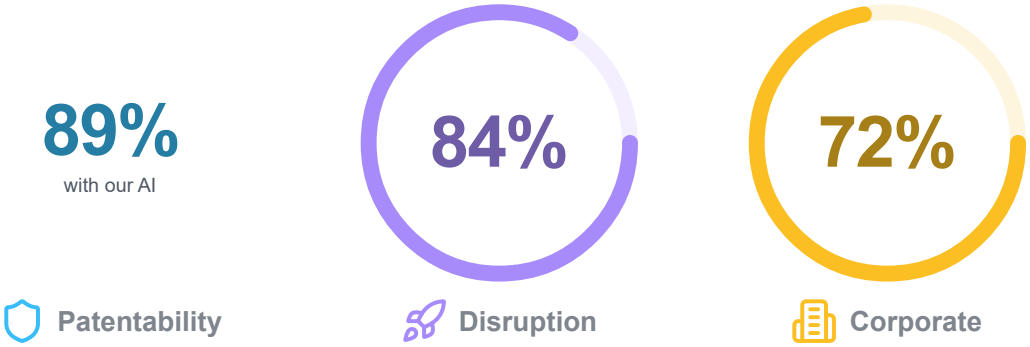


Innovation Confidence: **82%** — Strong potential!

On-chain prediction markets with loss-shield pools

This is an on-chain prediction market platform with a distinctive “loss protection” (insurance-like) mechanism, creator revenue share, and an oracle/liquidity design intended to improve retention and market integrity. The strongest patent angle is not “entertainment prediction markets” (crowded/obvious), but the specific on-chain risk-shield protocol (how funds are reserved, priced, paid, and kept solvent) plus the oracle resolution workflow that prevents manipulation and disputes.

Patentability 89% | Disruption Potential 84% | Corporate Match 72%

PATENTABILITY BREAKDOWN

Prior Art / Novelty (35 U.S.C. §102) 76% → 85%

Prediction markets, bonding-curve liquidity, staking pools, and oracle-based resolution are heavily known.

Polymarket-style event markets, AMM/bonding-curve liquidity, staking/treasury contracts, and oracle resolution patterns are widely documented in DeFi and prediction-market prior art. Novelty is most plausible in the exact structure of the “TeaBag” loss-protection mechanism (e.g., reserve accounting, payout gating, and anti-bank-run controls) and in any multi-oracle dispute/commit-reveal resolution protocol if it is materially different from known designs.

The AI will draft around the specific on-chain state machine for loss protection + oracle resolution (not the general idea of prediction markets) and will isolate differentiating constraints, parameters, and transitions.

Non-Obviousness (35 U.S.C. §103)

77% → 86%

Combining prediction markets with insurance pools and creator fee sharing may be seen as an expected combination.

A skilled DeFi engineer could plausibly combine known components: prediction markets + staking treasury + insurance-style reimbursement + multi-source oracles. To clear §103, the application needs to emphasize a non-obvious control architecture (e.g., solvency constraints, dynamic premium/coverage computation, two-phase reserve locking, and manipulation-resistant resolution) that produces measurable technical effects like reduced insolvency risk, reduced oracle dispute rate, or reduced payout race conditions.

The AI will frame the invention as a technical control system with explicit solvency invariants, reserve-locking, and dispute-state transitions that are not taught by standard DeFi insurance or prediction market designs.

Patentable Subject Matter (35 U.S.C. §101)

85% → 90%

Smart-contract protocols with concrete state transitions are generally eligible when claimed as technical mechanisms.

While “financial methods” can trigger §101 scrutiny, claims directed to specific smart-contract state machines, cryptographic commit-reveal, verifiable oracle aggregation, and on-chain reserve accounting typically have a stronger eligibility posture than purely abstract “betting rules.” The safest path is to claim concrete protocol steps and data structures (e.g., reserve buckets, coverage tokens, settlement epochs, dispute windows) rather than outcomes like “improved retention.”

The AI will draft claims as protocol-level mechanisms (state machines, data structures, cryptographic commitments) and avoid purely economic/marketing framing.

Enablement & Written Description (35 U.S.C. §112)

83% → 90%

The high-level pitch is detailed, but the patent needs crisp definitions and full protocol disclosure for the shield/oracle mechanics.

You provided deployment/testnet evidence and contract references, which helps, but a provisional still needs a clear written description of the key algorithms: how coverage is priced, when reserves are locked/unlocked, how payouts are computed, how disputes are handled, and what happens under insolvency conditions. If the “up to ~60%” protection is discretionary or vaguely defined, §112 risk increases.

The AI will convert the system into a step-by-step protocol spec with defined variables, edge cases, and example parameter sets tied to the smart-contract modules.

Industrial Applicability / Utility

93% → 94%

This is clearly usable in real on-chain markets and data/oracle infrastructure.

The system has direct practical use: operating event markets, settling outcomes, managing treasuries, and providing risk mitigation for participants. The existence of deployed contracts and CI/audit workflow supports real-world operability.

The AI will add concrete use-case examples (market lifecycle, settlement, shield payout) to make utility unmistakable.

Claim Clarity & Definiteness

68% → 87%

Terms like “TeaBag insurance,” “triple threat oracle,” and “story sagas” need precise technical definitions.

Many differentiators are currently described in branding language. For patent strength, each must map to objective mechanisms: specific contract roles, functions, state transitions, and measurable outputs. Without that, claims risk being indefinite or overly broad relative to what is actually enabled.

The AI will define each branded feature as a technical module with inputs/outputs, state transitions, and measurable effects, and will draft multiple fallback claim scopes.

What AI Will Fix During Drafting

- [DESCRIPTION] Convert branded features (TeaBag, Triple-Threat Oracle, Story Sagas) into precise technical modules with defined inputs/outputs and state transitions.
- [CLAIMS] Draft multiple claim sets focused on the loss-shield reserve-locking and payout gating protocol rather than the general prediction market concept.
- [DESCRIPTION] Add fallback embodiments (e.g., commit-reveal oracle resolution, dispute windows, solvency invariants, dynamic coverage pricing) to broaden the provisional without changing the core product intent.

💡 Think About This

• What are the broadest alternative ways your “TeaBag” loss protection could be implemented (e.g., different reserve bucket designs, dynamic premium formulas, coverage tokens, settlement epochs, dispute/appeal flows, or off-chain + on-chain hybrids) while still keeping the same user promise of partial loss recovery?